to increasing financial expertise for their overall economies. The worst outcome for Timor-Leste would be just to place its billions with external managers without understanding or learning how these assets are managed. Eventually they should do it all themselves and use their new expertise to develop their own financial system.

For Norway and Timor-Leste, transparency is crucial in maintaining the legitimacy of their SWFs. Transparency per se, however, is neither a necessary nor sufficient condition for countries to establish stable, robust self-restraint mechanisms so that they do not immediately spend their cash. Kuwait and Singapore, for example, operate highly successful SWFs that have long histories (Kuwait's was the very first one created, in 1953), and broad public support. Both are opaque; they report neither their total assets nor portfolio holdings. In fact, Kuwait's SWF makes it clear on its web page that it is against the law to disclose information concerning KIA's assets and other information about the fund.[17] Part of Kuwait's and Singapore's success is that although information is not released to the general public, detailed information is released regularly to certain authorities. There is accountability, if not public accountability, and fund managers are held responsible for their actions.

Large sums of money are very tempting for politicians to spend willy-nilly (especially on themselves). Having a clear outline of how the SWF is integrated into the overall government and economic strategy minimizes this risk. Russia established a SWF in 2004 funded by oil revenues and raided a significant amount of the capital to plug budget deficits in 2009 and 2010, to shore up unfunded state pension systems, and to pay for domestic infrastructure—none of which were contemplated when the SWF was created. Ireland depleted its SWF, the National Pensions Reserve Fund, by bailing out troubled Irish banks. While Ireland needed all the cash it could get during its meltdown, shoring up dodgy banks was not in the fund's original economic framework and was a terrible investment for pensioners.

So far, Timor-Leste has fared far better than Russia and Ireland in this regard, even though Timor-Leste is much more politically unstable. In April and May 2006, Prime Minister Mari Alkatiri fired six hundred soldiers who had gone on strike over what they regarded as poor pay, working conditions, and discrimination. Violence quickly spread and more than 100,000 people had to flee. President Ramos-Horta survived an assassination attempt in February 2008 organized by the leader of the rebel forces. The opposition Fretilin Party continues to argue that the Ramos-Horta government is illegitimate. Throughout, only the question of deviating from the ESI was debated; the integrity and management of the Petroleum Fund remained unsullied.

[17] http://www.kia.gov.kw/En/About_KIA/Tansparency/Pages/default.aspx.